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AI is shaking up the foundations of India's \$285-billion IT services industry which employs close to six million people. What was once a manpower intensive, labour-arbitrage model is now being tested by automation, chatbots, robots, AI-driven engineering and Cloud-native delivery. Amid this turbulence, a mid-tier Greater Noida & New Jersey headquartered tech services company, Coforge, made a sizeable acquisition—it bought Encora, a Silicon Valley AI-native engineering firm in December 2025, from private equity firms Advent International and Warburg Pincus, in an all-stock transaction. Advent will join the Coforge board after the deal.

Founded in 1992 as NIIT Technologies, the company missed the outsourcing wave that propelled peers like Infosys and TCS into global prominence. For years, growth was modest, constrained by promoter focus on education. The inflection point came in 2017, when Sudhir Singh—an IIT (BHU) and IIM Calcutta alumnus with stints at Hindustan Lever, Infosys, and Genpact—took over as CEO. Singh's mandate was clear: transform a mid-tier player into a top contender.

Under Singh's leadership, the company rebranded as Coforge in 2020, and the transformation has been striking, with significant growth in revenues (approx. 3.5x) and market cap (nearly 20x).

The Encora acquisition positions Coforge as a strong provider of AI solutions, with AI-led product engineering, Cloud and data, expected to deliver \$2 billion in revenue by FY27. From missing the outsourcing boom to betting big on AI, the company's journey under Sudhir Singh, CEO and Executive Director, Coforge, is a case study in reinvention. In an interview with *Business Today*, Singh discusses AI-led disruptions, changing contours of business and more. Edited excerpts:

SAKSHI: How do you see Indian IT firms repositioning themselves globally as AI reshapes the outsourcing narrative?

A: We believe the age of AI experimentation that we have all been looking at over the last three years

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is over. AI driven by Cloud and data is going to be instrumental in driving enterprise reinvention across the world.

We also believe that the next generation enterprises will have their business capabilities defined and executed by a combination of human and AI agents and all of this will have to be underlaid.

We see the industry at an inflection point. And even within that inflection point, we see that the first era of AI-led experimentation is over.

SHELLEY: Is AI akin to the Y2K opportunity?

A: This is going to be more selective. Y2K was, for lack of a better word, a commoditised opportunity. Speed, scale, and tactical elements were more important.

AI is going to centre around two things—create new